

EXAMPLE 2

The following data has been extracted from a company's statement of comprehensive income for the year to 31 July 2020 (with comparatives for 2019):

	31 July 2020	31 July 2019
	£000	£000
Sales revenue	9,170	8,350
Cost of sales	6,220	5,670
Gross profit	2,950	2,680
Operating expenses	1,280	1,230
Interest payable	nil	nil
Profit before tax	1,670	1,450

Calculate the gross profit margin and profit margin for each year.

Solution

	31 July 2020	31 July 2019
Gross profit margin	$\frac{2,950}{9,170} = 32.2\%$	$\frac{2,680}{8,350} = 32.1\%$
Profit margin	$\frac{1,670}{9,170} = 18.2\%$	$\frac{1,450}{8,350} = 17.4\%$

The gross profit margin is virtually unchanged but the profit margin has increased by nearly a whole percentage point. This increase has been caused mainly by the fact that operating expenses as a percentage of sales have fallen from 14.7% to 14.0%.

Liquidity ratios

The main liquidity ratios[†] are:

- The current ratio
- The quick assets ratio (or "acid test").

[†] The liquidity ratios are illustrated in the comprehensive example (Quandock plc) which is provided later in this chapter.

The current ratio

The purpose of the current ratio is to measure a company's ability to meet its short-term financial obligations out of its current assets. The current ratio is usually expressed as an actual ratio (e.g. 3:1) and is calculated as follows:

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

What is perceived as an acceptable level of current ratio will vary from one type of business entity to another. For example, a ratio of 1:1 may be perfectly adequate for a supermarket chain which has virtually no receivables and which rapidly converts its inventories into cash. On the other hand, a ratio of at least 2:1 might be seen as necessary for a manufacturing company which holds inventories for a longer period and then sells them on credit terms.

The quick assets ratio

In many cases, a company's inventories cannot be converted into cash at short notice and therefore the current ratio (which takes all current assets into account) may give an over-optimistic view of the company's liquidity. The quick assets ratio ("quick ratio") provides a more severe test of liquidity by omitting inventories from the calculation. The ratio is calculated as follows:

$$\text{Quick assets ratio} = \frac{\text{Current assets less inventories}}{\text{Current liabilities}}$$

Although a quick assets ratio of at least 1:1 might be seen as desirable, it should be borne in mind that some of the current liabilities shown in a company's financial statements may not be payable immediately. For instance, the tax liability may not fall due until several months after the end of an accounting period. In these circumstances, a ratio of less than 1:1 might be acceptable. Note that the quick assets ratio is also known as the *acid test*.

EXAMPLE 3

The following information has been extracted from the financial statements of Company S and Company M for the year to 31 December 2019. Company S is a supermarket chain whilst Company M is a manufacturer.

	Company S	Company M
	£m	£m
Current assets:		
Inventories	970	1,750
Trade receivables	40	1,880
Cash and bank balances	570	290
	<u>1,580</u>	<u>3,920</u>
Current liabilities	<u>2,470</u>	<u>2,120</u>

Calculate the current ratio and the quick assets ratio for each company.